

All the statistics say that money chases the guy who did well last year and leaves the guy who didn't do well last year. And the subsequent performance is actually worse for the guy who did well last year. If you look at the past 3-, 5-, and 10-year returns of managers, there is no correlation between those who did well in those prior periods and those who do well in the subsequent 3, 5, and 10 years. Returns, however, are what allocators normally rely on to make decisions. If you are an allocator, you typically don't know the thought process that went into each investment decision. All you get to see are the results. The problem is that the past results are very misleading in terms of who is going to do better in the future.

One reason for the lack of correlation between past and future performance is that if investors chase good performers, the managers with better recent performance will attract more capital, and it is harder to run more money. As Warren Buffett said, "A fat wallet is the enemy of good investment returns." It is very difficult to have a lot of great ideas. If investors keep piling in money, then those managers have to do something with the money, and they may be forced to do some things differently than when they had less money.

There is one recent study that looked at the returns of managers during the 2000 to 2009 period. The study showed that 97 percent of the top quartile managers for the decade spent at least three years in the bottom half of managers. More surprisingly, 79 percent of the top quartile managers for the decade spent at least three years in the bottom quartile, and nearly half of them spent at least three years in the bottom decile. You know that investors didn't stick with the managers in the bottom quartile, let alone the bottom decile. Yet those were the managers that ended up with the best record for the entire period.

Here is another interesting statistic. The single best-performing mutual fund for the entire decade was up 18 percent a year, on average, during a period when the market was flat, yet the average investor in that fund lost 8 percent. That is because every time the fund did well, people piled in, and every time it underperformed, people redeemed. The timing of the money flows was so bad that investors, on average, turned a fund that